Nirman Trust-I 03 2025

Originator: IKF Home Finance Limited

March 26, 2025

Instrument#	Amount (₹ crore)	Structure	Tenure* (months)	Rating[1]	Credit Enhancement$ (₹ crore)		Rating Action
					Subordination	Cash Collateral	
Series A PTCs	45.82	Par (TI-UP Turbo)	227	Provisional CARE AAA (SO)	2.41	3.86	Assigned
Equity Tranche PTCs	2.41	Par (UI-UP)		Provisional CARE AA (SO)	-		

Details of instruments/facilities in Annexure-1.

Series A pass-through certificates (PTCs) are rated based on timely payment of interest and payment of principal on or before last scheduled payout date.

Equity Tranche PTCs are rated based on ultimate payment of interest until Series A PTCs are outstanding, and timely interest post redemption of Series A PTCs, and ultimate payment of principal on or before last scheduled payout date.

* Tenure / door-to-door maturity may change due to prepayments or changes in interest rates.

$ Excess interest spread (EIS) shall be utilised to prepay Series A PTCs monthly at every payout.

Rating in the absence of the pending steps/documents	No rating can be assigned

Rationale and key rating drivers

CARE Ratings Limited (CARE Ratings) has assigned a rating of 'Provisional CARE AAA (SO)' [pronounced as 'Triple A (Structured Obligation)'] to Series A PTCs and a rating of 'Provisional CARE AA (SO)' [pronounced as 'Double A (Structured Obligation)'] to Equity Tranche PTCs, proposed to be issued by Nirman Trust-I 03 2025 backed by home loan receivables originated by IKF Home Finance Limited ("the Originator" or "IKFHF").

The rating is based on credit quality of underlying loans, support in form of credit enhancement (CE), credit underwriting and servicing capability of originator, well-defined payment mechanism, and robust legal structure of the transaction.

The final rating will be assigned after copies of following documents, duly executed in accordance with the structure and to the satisfaction of CARE Ratings, are furnished by the originator:

a. Assignment agreement
b. Trust deed
c. Power of attorney
d. A legal opinion from an independent legal counsel
e. Due diligence audit report
f. Any other documents executed for the transaction.

Rating sensitivities: Factors likely to lead to rating actions

Positive factors - Factors that could, individually or collectively, lead to positive rating action/upgrade:

For Series A PTCs: None

For Equity Tranche PTCs:

- Delinquencies (90+ days past due [DPD] as percentage of initial principal outstanding [POS]) of less than 2% and sustained high collection efficiency (cumulative collection efficiency of over 98%).
- Build-up of cash collateral (CC) of over 2x the initial proposed(as a percentage of the balance principal outstanding [POS]).

Negative factors - Factors that could, individually or collectively, lead to negative rating action/downgrade:

- Delinquencies (90+ DPD as percentage of initial POS) of over 5% and sustained lower collection efficiency (cumulative collection efficiency of less than 90%).
- Deterioration in the credit profile of the originator.
- Utilisation of CC.
- Non-adherence to key transaction terms envisaged at the time of the rating.

[1]Complete definitions of ratings assigned are available at www.careedge.in and in other CARE Ratings Limited's publications.

Analytical approach

The rating is based on inter alia, analysis of underlying pool of receivables, expected pool performance, performance of originator's portfolio and transaction structure including proposed CE.

Detailed description of key rating drivers

The transaction is structured at par and Series A PTCs are rated for timely payment of interest with repayment of principal on or before final legal maturity. The Equity Tranche PTCs are rated for ultimate payment of interest until the Series A PTCs are outstanding and timely payment of interest post redemption of Series A PTCs with repayment of principal on or before final legal maturity. Principal payment towards Equity Tranche PTCs is subordinate to Series A PTCs. EIS shall be utilised to prepay Series A PTCs and Equity Tranche PTC monthly per waterfall mechanism.

Assigned pool consists of 477 home loan contracts, aggregating to a POS of ₹48.23 crore as on the cut-off date. Top three states account for ~83% of the pool. All contracts are current on payment. The pool has weighted an average seasoning of ~24 months with an amortisation of ~8%. The pool has minimum credit bureau score (CIBIL) of 680 with ~93% of contracts in the pool have score of over 700. The pool is granular with scheduled of cash flows from underlying loans. Assignment of receivables to the special purpose vehicle (SPV) lends strength to these cash flows and the rating factors terms of servicing agreement as detailed hereinafter.

The CE will comprise CC of 8.00%, subordinated equity tranche of 5.00%, and subordination of EIS of ~77% of the pool POS in the structure. The CC will be in the form of fixed deposits (FDs) with a lien marked in favour of the trust, per CARE Ratings' criteria. The support of Equity Tranche and EIS, is subject to realisation. The EIS is also subject to compression considering prepayments in the pool. The cash flow from the underlying pool, and external CE will be used to make payout to PTC investors.

Key strengths:

- Robustness of transaction structure and well-defined payment mechanism.
- CE comprising CC, subordinated equity tranche and EIS.
- No overdue contracts as on the pool cut-off date. All contracts in the pool have been ever current.
- Underwriting policies and collection capabilities of IKFHF.
- High weighted average seasoning (based on equated monthly installments [EMIs] paid) of ~24 months with amortisation of ~ 8% as of pool cut-off date.

Key weakness:

- High concentration, with top three states accounting for ~83% of the pool.

Liquidity: Strong

For Series A PTCs and Equity Tranche PTCs: **Strong**

Inherent liquidity in the structure is strong. Interest payouts for Series A PTCs are promised monthly and post redemption of Series A PTCs, interest payouts for Equity Tranche PTCs are promised monthly too while principal of Series A PTCs and Equity Tranche PTCs is promised to be paid by final legal maturity. In case of delinquencies, payouts are expected to be supported by CE consisting of CC, principal subordination in the form of subordinated equity tranche (For Series A PTCs) and EIS.

Key rating assumptions and adequacy of credit enhancement

CARE Ratings has analysed the transaction to assess whether the CE is sufficient to cover shortfalls. Since the transaction is sensitive to credit quality of the underlying pool, CARE Ratings has analysed performance of static pools provided by the originator and overall portfolio performance of the originator. Considering borrower profile, nature of loan, pool characteristics, and portfolio performance, CARE Ratings has taken average shortfall at 4.00%-5.00% of POS. Base case shortfalls were stressed along with other key factors, such as timing of shortfalls, recovery assumptions, and time to recovery. Pool cash flow has been further adjusted for prepayments of underlying loans, assuming monthly prepayments in range of 0.50%-1.00%.CARE Ratings has stipulated CE, which is commensurate with credit rating of PTCs.

Key Risks, Concerns and Mitigants:

The securitisation transaction involves several risks, including credit risk from borrower defaults, commingling risk due to time lags in fund deposits, basis risk from differing interest rate benchmarks, prepayment risk from early principal repayments, servicer bankruptcy risk, legal risk regarding validity of receivable transfers, and counterparty risk involving transaction parties. These risks are factored while assigning rating, wherever needed, and partially mitigated through CEs, separate record-keeping, credit rating/profile of the originator, transaction structuring, true sale of receivables, legal opinion from independent legal counsel. The transaction structure also has provision to change counterparties including, trustee, and banker among others.

Applicable criteria

Policy on Default Recognition
Assignment of Provisional rating
CARE Ratings' methodology for asset/mortgage-backed securitisation

Validity of Provisional rating

Provisional rating shall be converted into a final rating after receipt of transaction documents duly executed/ completion of mentioned steps within 90 days from the instrument's date of issuance. An extension of 90 days may be granted on a case-to-case basis in line with CARE Ratings' Policy on Assignment of Provisional Ratings.

Risks associated with Provisional nature of credit rating

When a rating is assigned pending execution of certain critical documents or steps to be taken, it is a 'Provisional' rating indicated by prefixing 'Provisional' before the rating symbol. On execution of critical documents to the satisfaction of CARE Ratings, the final rating is assigned. In absence of documents/ completion of steps or where such documents deviate significantly from those considered, provisional rating will be reviewed in line with the Policy on Assignment of Provisional Ratings.

About the Originator / Servicer and industry

Industry classification

Macroeconomic indicator	Sector	Industry	Basic industry
Financial services	Financial services	Finance	Securitisation

Incorporated in 2002 as IKF Financial Services Private Limited, IKF is registered as Housing Finance Company (HFC) and is primarily engaged in providing home loan products/refinance solutions. The company has presence across the States of Andhra Pradesh, Telangana, Karnataka, Tamil Nadu, Maharashtra and Gujarat. IKFHF is an experienced company in home loans and loan against property segment with over 6 years of experience and is active in the securitisation market with 31 outstanding pools with initial size of the live securitised pools including co-lending as of December 31, 2024, standing at ~₹400 crore.

The company was initially promoted by the promoters of IKF Finance Limited. However, the company was acquired by IKF Finance Limited in December 2018. IKF Finance Limited is the group's major asset financing company and non-deposit taking NBFC primarily engaged in commercial vehicle, construction equipment and SME segment financing. As on December 31, 2024, IKF Finance Limited holds 89.13% stake (on a fully diluted basis) in the company while the balance shareholding lies with the promoters.

Key financial indicators - IKFHF

Particulars	FY23 (A)	FY24 (A)	9MFY25 (**P**)
Total income (₹ crore)	92.61	147.73	141.28
PAT (₹ crore)	10.72	23.68	20.13
Net worth (₹ crore)	143.21	213.15	234.07
Net NPA (%)	0.59	0.56	0.75
ROTA (%)	1.96	2.90	2.30

A: Audited; P: Provisional; Note: these are latest financial results available.

Key terms of Servicer Contract:

The servicing agreement shall cover role of the originator as the Collection and Payment Agent (CPA) for the SPV in managing collections from underlying borrowers, without informing them of the assignment. The Servicer (originator) follows its standard procedures for collections, including recovery actions, and ensures timely transfers of funds to the SPV under an M+1 payment structure. The trustee monitors sufficiency of funds for investor payouts one day prior to payout date and utilises cash collateral in case of shortfalls. The Servicer must also submit detailed reports on billing, collections (including prepayment), overdue amounts with aging thereof, cash flow schedules to the trustee and such other information as may be required by the trustee. Terms of the agreement shall have provisions for the appointment of an alternate servicer in case of servicer event of default.

Status of non-cooperation with previous CRA: Not applicable

Any other information: Nil

Rating history for last three years: Annexure-2

Detailed explanation of covenants of rated instruments/facilities: Annexure-3

Complexity level of instruments: Annexure-4

Lender details: Annexure-5

Annexure-1: Details of instruments/facilities

Name of the Instrument	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Pass Through Certificates	-	-	-	-	45.82	Provisional CARE AAA (SO)
Pass Through Certificates	-	-	-	-	2.41	Provisional CARE AA (SO)

Annexure-2: Rating history for last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024	Date(s) and Rating(s) assigned in 2022-2023	Date(s) and Rating(s) assigned in 2021-2022
1	Pass Through Certificates	LT	45.82	Provisional CARE AAA (SO)	-	-	-	-
2	Pass Through Certificates	LT	2.41	Provisional CARE AA (SO)				

LT- Long term

Annexure-3: Detailed explanation of covenants of rated instruments/facilities

Not applicable

Annexure-4: Complexity level of instruments rated

Sr. No.	Name of Instrument	Complexity Level
1.	Pass Through Certificates	Highly complex

Annexure-5: Lender details

Not applicable

Note on complexity levels of rated instruments: CARE Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

Contact us

Media Contact	Analytical Contacts
Name: Mradul Mishra Director **CARE Ratings Limited** Phone: +91-22-6754 3596 E-mail: mradul.mishra@careedge.in **Relationship Contact** Name: Pradeep Kumar V Senior Director **CARE Ratings Limited** Phone: 044-2850 1000 E-mail: pradeep.kumar@careedge.in	Name: Vineet Jain Senior Director **CARE Ratings Limited** Phone: +91-22-6754 3456 E-mail: vineet.jain@careedge.in Name: Sriram Rajagopalan Director **CARE Ratings Limited** Phone: +91-22-6754 3652 E-mail: sriram.rajagopalan@careedge.in Name: Chirag Gambhir Associate Director **CARE Ratings Limited** Phone: +91-22-6754 3423 E-mail: chirag.gambhir@careedge.in

About us:
Established in 1993, CARE Ratings is one of the leading credit rating agencies in India. Registered under the Securities and Exchange Board of India, it has been acknowledged as an External Credit Assessment Institution by the RBI. With an equitable position in the Indian capital market, CARE Ratings provides a wide array of credit rating services that help corporates raise capital and enable investors to make informed decisions. With an established track record of rating companies over almost three decades, CARE Ratings follows a robust and transparent rating process that leverages its domain and analytical expertise, backed by the methodologies congruent with the international best practices. CARE Ratings has played a pivotal role in developing bank debt and capital market instruments, including commercial papers, corporate bonds and debentures, and structured credit.

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